

For financial services stocks, we modify the filters on ROE and sales growth as follows:

ROE of 15 per cent: We prefer Return on Equity⁸ over Return on Assets⁹ because this is a fairer measure of banks' (and other lenders') ability to generate higher income efficiently on a given equity capital base over time.¹⁰

Loan growth of 15 per cent: Given that nominal GDP growth in India has averaged 13.8 per cent over the past ten years, loan growth of at least 15 per cent is an indication of a bank's ability to lend over business cycles. Strong lenders ride the down-cycle better, as the competitive advantages surrounding their ability to source lending opportunities, credit appraisal and collection of outstanding loans ensure that they continue their growth profitably either through market share improvements or by upping the ante in sectors that are resilient during a downturn.

Now, let's look at the results. Detailed back-testing of the Coffee Can Portfolio based on data going back to 1991 shows that *such a portfolio beats benchmarks across all time periods*. The portfolio also performs admirably well during stressful periods (like the Lehman crisis in 2008) when the overall stock market nosedived. If invested for over a decade with no churn, this portfolio generates returns that are substantially higher than the benchmark (median compounded annualized outperformance of 11.9 per cent points).